

Is Adobe a Value Trap?

The quarter, the database, and what five years of Q3s actually show.



PRIMARY SOURCE ARBITRAGE

SEP 14, 2026

Adobe closed at \$252.23 on September 11, 2026. At 7.52x next-twelve-months EV/EBITDA, the stock trades at a 39% discount to the large-cap software peer median of 12.4x. That is not a rounding error. That is a verdict.

JPMorgan's price target has gone from \$580 to \$310 in twenty-four months. Morgan Stanley is at \$240, Underweight. William Blair titled its post-earnings note "Nothing Too Surprising." When a business trades at a 39% discount to its peer group, "nothing too surprising" is either the most damning or the most revealing sentence an analyst can write.

This is the fourth time I've written about Adobe since April. The thesis across all three prior posts has been the same: the market is mispricing Adobe's AI transition because the most visible metrics are lagging indicators of a business structurally changing underneath. Firefly was compounding. The freemium funnel was building. Cash generation was elite. The stock was cheap because the narrative was wrong, not because the business was broken.

Five months in, the thesis has not produced a return. The stock touched \$190 in June. At a certain point, repeating that the market is wrong stops being an analytical position and starts being a rationalization. The question this post owes the series is direct: am I watching a genuine mispricing unfold, or am I sitting in a value trap?

A value trap is specific. Not just a stock that is cheap and stays cheap. A stock where the cheapness is the diagnosis, not the opportunity. The business is deteriorating, but the deterioration is masked by metrics that look superficially fine. You buy it because the multiple looks absurd. The multiple looks absurd because the numerator is about to compress.

Most standard value trap markers are ruled out by inspection for a subscription software business with 0.11x net debt, no dividend, and 99% recurring revenue. No leverage trap, no deteriorating-payout trap, no cyclical exposure, no declining free cash flow. Three require data: buyback-inflated EPS, cost-cut margins, and revenue compression. Those are what this post examines.

I have 23 quarters of financial data for this name. Every line item, quarterly, from Q1 FY2021 through Q3 FY2026. Six findings from that database, combined with Q3's earnings transcript and an independent read on the incoming CEO, will determine the answer.

The Scorecard

Post 3 set four break conditions on June 17. Pre-registered, falsifiable metrics that would trigger a thesis exit. The point of pre-registering them was to prevent exactly the failure mode described above: holding a position because the narrative feels right while the data quietly deteriorates underneath. Q3 is the first earnings report since those conditions were set.

1. Incoming CEO signals strategic review. Not triggered.

Anil Chakravarthy's first call as CEO-designate contained no restructuring language. His framing was continuation:

“I’m excited by the opportunity to drive Adobe’s growth and leadership across creativity, productivity and customer experiences in the era of agentic software”

He drew a direct parallel to the on-prem-to-SaaS transition Adobe already executed successfully. No portfolio pruning. No expectation reset. The break condition was designed to catch a new CEO using the honeymoon period to write down inherited problems. Anil did the opposite.

2. Q4 ARR not re-accelerating. Pending.

Q4 has not reported. But Q3 was pre-disclosed as the trough. On the Q2 call, Shantanu framed the second half explicitly:

“our second half ARR expectations probably typically pay out 40 and 60 in Q3 and Q4, given we’ll be making more of these changes in Q3 as it relates to changing the traffic patterns, and we expect our seasonal enterprise strength... perhaps a little bit more proportionately in Q4 than it was in Q4 in the last few years”.

Q3 was supposed to absorb the cost of the freemium pivot. Q4 is where re-acceleration either shows up or does not.

The trajectory through Q3: total Adobe ending ARR of \$27.5 billion, growing 11.2% YoY. AI-first ending ARR exceeded \$650 million, growing more than 150% YoY (Shantanu Narayen, Q3 Earnings Call). The Q4 revenue guide of \$6.80 to \$6.85 billion implies roughly 10% YoY growth at the midpoint.

The net new ARR number deserves scrutiny. Vinod Srinivasaraghavan asked it directly on the call:

“net new ARR was down 36%, 37% year-over-year”

That figure is derived from disclosed ending ARR, not a separate Adobe disclosure. Anil's response:

"our strategy is to drive both and balance across acquiring these new customers as well as growing ARR... at the right time, we will calibrate where we convert them into ARR."

That is a management claim, not a verified fact. "At the right time" is doing a lot of work in that sentence. The freemium MAU funnel, 100 million creative users growing 70% YoY, is either the conversion pool that net new ARR will eventually draw from or a vanity metric that never monetizes. This condition grades when Q4 ARR prints.

3. Firefly ARR trajectory $\geq 30\%$ QoQ. Cleared, and this is the one that matters most.

Firefly ending ARR across Firefly Apps and credit packs grew 40% QoQ (Steve Day, Q3 Earnings Call). Above threshold, with margin. Credit consumption accelerating QoQ. AI-first ending ARR running at more than \$650 million and growing more than 150% YoY.

Value traps feature new products that launch with press releases and die with footnotes. Firefly is compounding at 40% sequentially, QoQ, above the threshold I set in June. Of the four conditions on this scorecard, this is the one where the data is unambiguous.

4. RPO + Firefly + valuation composite. Mixed.

RPO grew 8% YoY, cRPO 9%. Jay Vleeschhouwer flagged it on the call:

"the single-digit growth YoY was the first single-digit growth since fiscal '23"

Steve Day defended the trend as seasonal:

“both RPO and cRPO step up in our fourth quarter and then remain fairly flat over the next 3 quarters. And this year is no different to prior years in that shape.”

My spreadsheet tells a different story on part of that defense. I will address it in the next section. For this scorecard: RPO deceleration is a negative signal. Firefly clearing the hurdle is a positive signal. The valuation compressing to 7.52x is mechanically positive for entry but reflects continued market skepticism. Two of the three composite inputs point in opposite directions.

Net: Four conditions set. One cleared. One not triggered. One mixed. One pending Q4 data. No break has triggered. The thesis survives Q3, but the RPO deceleration and net new ARR decline are the two signals that keep this from being a clean pass.

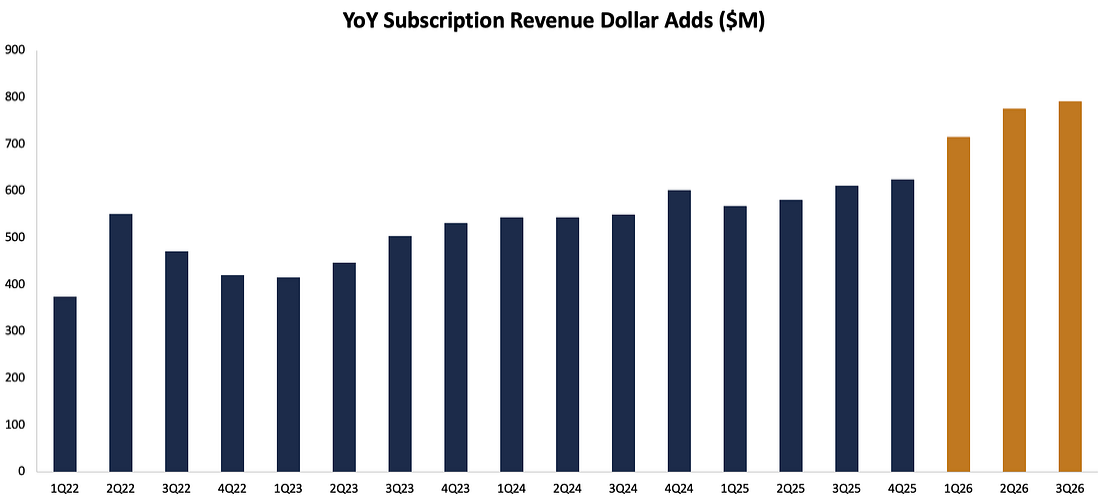
What 23 Quarters Show

The value trap framework in the opening makes a specific claim about what declining businesses look like from the inside: revenue stalling or contracting, margins defended through cost cuts, earnings growth manufactured by share reduction. That framework is testable against 23 quarters of quarterly financials.

Adobe's subscription revenue grew every quarter in the 23-quarter database without exception. Q3's 13.7% YoY is the fastest Q3 pace in five years. The prior four Q3s: 11.8%, 11.9%, 12.2%, 12.9%. Three consecutive years of deceleration, then a reversal.

Adobe added \$791 million in YoY subscription revenue in Q3, the single largest quarterly dollar add in the 23-quarter database. Prior Q3s: \$471 million (FY22), \$503 million (FY23), \$549 million (FY24), \$611 million (FY25). Each quarter of FY26 has set a new record: \$715 million in Q1,

\$775 million in Q2, \$791 million in Q3. The acceleration is not a percentage artifact.

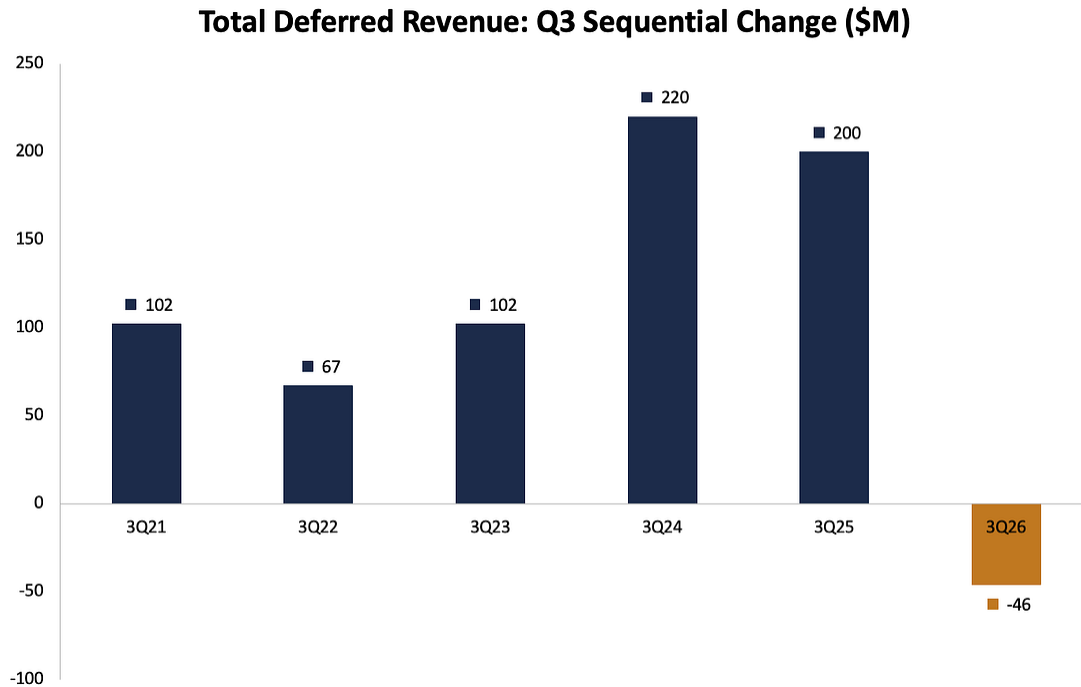


Quarterly YoY subscription revenue adds (\$M), Q3 FY2022 through Q3 FY2026. Source: Adobe quarterly earnings press releases.

Value traps have numerators about to compress. This numerator is not compressing. That is the first finding.

The second challenges it.

Total deferred revenue fell \$46 million sequentially in Q3, to \$7,204 million. In every prior Q3 in the database, total deferred revenue increased sequentially: +\$102 million (FY21), +\$67 million (FY22), +\$102 million (FY23), +\$220 million (FY24), +\$200 million (FY25). The five-year Q3 average is +\$138 million. Q3 FY26 is a \$184 million swing from that average and the first Q3 sequential decline in the database.



Total deferred revenue, Q3 sequential change (\$M),
FY2021 through FY2026. Source: Adobe quarterly earnings
press releases and supplemental financial data.

Deferred revenue is billings not yet recognized. A subscription business that bills less than it recognizes, in a quarter where it historically does the opposite, is sending a signal. The freemium pivot is one explanation: Shantanu said on the Q2 call that half the near-term ARR impact came from deferring Creative Cloud price increases, half from redirecting traffic toward free products (Shantanu Narayen, Q2 FY2026 Earnings Call). Both mechanically reduce near-term billings. Enterprise renewal timing is another: enterprise contracts load toward Q4, aligning with calendar-year budgets, so Q3 billings depend more on the individual and SMB subscriptions that the freemium pivot is disrupting. One quarter cannot determine which explanation is right. But one quarter that breaks a five-year seasonal pattern is not noise.

RPO complicates the picture. Steve Day defended single-digit growth as seasonal:

“both RPO and cRPO step up in our fourth quarter and then remain fairly flat over the next 3 quarters”

The Q4 step-up is confirmed by every year in the database, averaging +\$1.57 billion across FY21 through FY25.

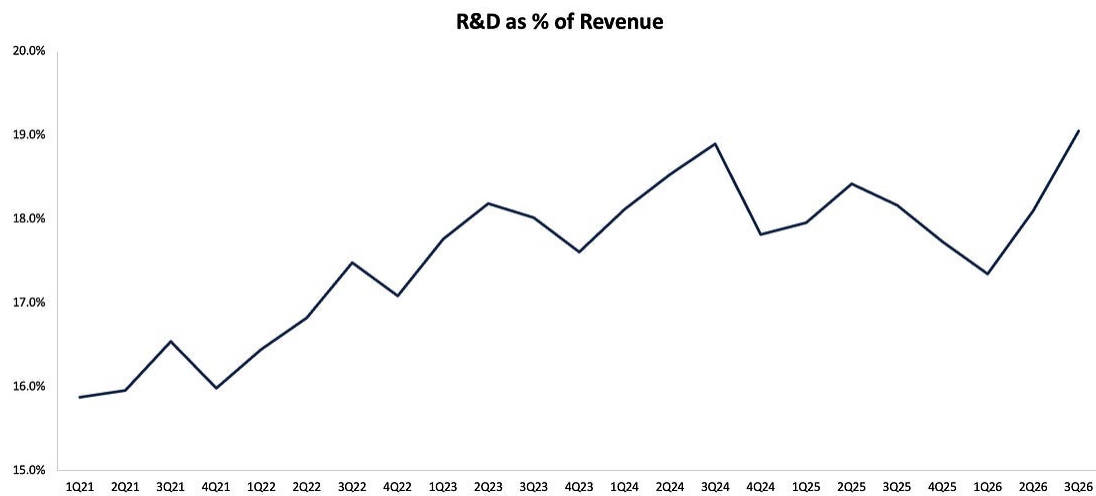
“Fairly flat” over Q1 to Q3 is where the data diverges. In every prior year in the database, RPO grew from Q1 to Q3, averaging +\$0.62 billion across FY21 through FY25. FY26: -\$0.06 billion. RPO declined from Q1 to Q3 for the first time in the database. “Fairly flat” was an accurate characterization of prior years, where the Q1-to-Q3 quarters showed modest positive drift. In FY26, modest positive drift became a small decline. A seasonal defense that requires the listener not to notice a directional change is not a complete defense.

Those are three findings on the revenue side. The topline is accelerating by every standard measure. The two forward-looking indicators underneath, deferred revenue and RPO, are both showing softness that breaks historical patterns. These signals are not in agreement. Any honest assessment has to hold both.

The fourth finding shifts to cost structure. In a value trap, margins hold because the company is cutting costs, not because revenue is growing. Adobe is doing the opposite.

R&D in Q3: \$1,288 million, 19.1% of revenue. That is the highest R&D intensity in the 23-quarter database. In Q1 FY2021, R&D was 15.9%. The trajectory since then is not a straight line: a steady climb from 16% through 17% and 18%, reaching a prior peak of 18.9% in Q3 FY2024. R&D intensity is one metric. The growth rate of the dollars is another. YoY R&D dollar growth decelerated through FY2025, bottoming at 6.5% in Q3 FY2025. Then it reversed. Q3 FY2026 R&D grew 18.4% YoY, the fastest pace since FY2022. Against 12.9% revenue growth, R&D is running at 1.4 times the rate of the topline. A business in harvest mode

does not re-accelerate R&D spending to its highest intensity on record after a two-year deceleration.



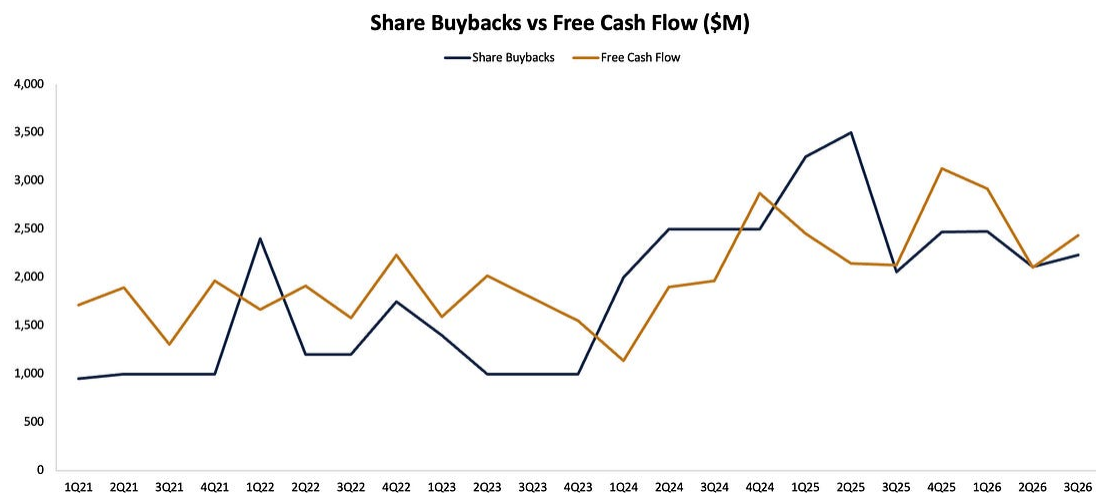
R&D expense as a percentage of total revenue, Q1 FY2021 through Q3 FY2026. Source: Adobe quarterly earnings press releases.

That reinvestment has a cost, and it is showing up in subscription margins. Subscription cost of revenue hit \$633 million in Q3, growing 24.1% YoY against 13.7% subscription revenue growth. A 1.8x ratio. The sequential jump is sharper than the YoY figure suggests. Subscription COGS rose \$47 million from Q2 to Q3. The five-year Q3 sequential average is -\$2 million (individual years: +5, -43, +11, +3, +16). Subscription gross margin: 90.38% in Q3, down from 91.29% two quarters ago. Ninety-one basis points of compression in two quarters, with the pace accelerating.

Running Firefly inference at scale carries compute cost that the pre-AI software model did not. Each generated image, each content-aware fill, each Express template consumes GPU cycles that show up as subscription COGS. The compression is evidence that Adobe is deploying AI at a scale that moves the P&L. It is also evidence that the AI transition carries cost structure risk the prior model did not. Both readings are correct.

The sixth finding is the most direct value trap test: whether buybacks are inflating EPS to mask a declining business.

Net income grew 3.1% YoY in Q3. Diluted EPS grew 10.7%. The gap of 7.7 percentage points is share reduction: 424 million diluted shares a year ago, 395 million now. Adobe has retired 18.2% of its float since Q1 FY2021. Total repurchases since Q1 FY2022: \$38.6 billion.



Quarterly share repurchases vs. free cash flow (\$M), Q1 FY2021 through Q3 FY2026. Source: Adobe quarterly earnings press releases and cash flow statements.

Adobe spent \$2,232 million on repurchases in Q3 and generated \$2,438 million in FCF. That quarter passes. Not every quarter does. In 7 of the 23 quarters in the database, buybacks exceeded FCF. From Q2 FY2024 through Q1 FY2026, TTM buybacks exceeded TTM free cash flow in every quarter. Eight consecutive quarters, when the business spent more on repurchases than it generated in cash. Cumulatively from Q1 FY2021, Adobe has generated \$46.4 billion in FCF against \$42.5 billion in buybacks. The balance sheet absorbed the difference from both sides. Total debt rose from \$4.1 billion in Q1 FY2021 to \$6.4 billion in Q3 FY2026, with \$2.0 billion issued in Q2 FY2024 and another \$2.0 billion in Q1 FY2025. Net cash peaked at \$4.2 billion in Q4 FY2023 and has since swung to net debt of \$724 million. Net debt to EBITDA: 0.11x.

Product revenue, Adobe Stock and perpetual licenses combined, is a rounding error. Shantanu sized it on the Q1 call: “it’s about a \$450 million book of business... if you take out the stock business like-for-like, instead of the 10.9% growth, it would have been approximately 11.2% growth” (Shantanu Narayen, Q1 FY2026 Earnings Call, March 18, 2026). Three tenths of a percentage point.

EPS growth is partly mechanical. The business generating the cash to fund these repurchases added \$791 million in subscription revenue, the largest quarterly add in the database. R&D is at its highest intensity on record. Revenue growth re-accelerated to its fastest Q3 in five years.

The Harder Question

Six findings, none of them fatal. Not a classic value trap by any standard marker in the 23-quarter database.

The stock trades at a 39% discount to its peer group. 7.52x against a peer median of 12.4x across CRM, ADSK, INTU, SAP, MSFT, ORCL, and NOW (NTM EV/EBITDA, TIKR, September 11, 2026). The market is not pricing a business that is declining. It is pricing the possibility that Adobe’s competitive position is eroding in ways that backward-looking financial data cannot detect.

There is a version of this where the financials look fine right up until the competitive position collapses. The metrics stay healthy because the threat has not yet shown up in the numbers. By the time quarterly data confirms the problem, the stock has already priced it. That is not testable with 23 quarters of income statements and cash flow. It is testable by reading what Adobe’s own actions reveal about how the company sees the competitive landscape.

In September 2022, Adobe offered \$20 billion to acquire Figma. Regulators in the EU and UK blocked the deal. Adobe terminated it in December 2023 and paid a \$1 billion breakup fee. The offer, the price, and the willingness to absorb a \$1 billion loss when it failed are in Adobe's SEC filings.

Adobe is now redirecting traffic toward free products and deferring Creative Cloud price increases. Shantanu was explicit about the tradeoff on the Q3 call:

"I'm actually really happy that we didn't focus on the pricing actions because that, while it may have provided some short-term relief, would not be as critical as continuing to drive new user adoption"

The result: 100 million creative monthly active users, growing 70% YoY. The cost: net new ARR down 36 to 37 percent YoY.

The gap between those two numbers is the open question. Anil's response on the call:

"at the right time, we will calibrate where we convert them into ARR"

That is a management commitment with no timeline attached. Conversion has to start showing up in Q4 net new ARR or the freemium thesis does not survive into FY2027 without a new explanation.

Jay Vleeschhouwer asked the question directly:

"what do you think are Adobe's most consequential strategic, technical, financial or competitive challenges?"

Anil's answer did not name a single competitive challenge. He spoke about

“bringing all of those assets and build the new capabilities required for the world of agentic software.”

That is not an answer to the question. It is a restatement of the corporate strategy. The incoming CEO of a company trading at a 39% discount to its peer group was asked to identify the biggest competitive threat and chose not to.

R&D at 19.1% of revenue, the highest in five and a half years, after a two-year deceleration. A \$20 billion acquisition attempt. Traffic redirected toward free products. Price increases deferred. The company's own actions describe a competitive environment that requires significant intervention.

That is one reading.

The other is in the enterprise numbers. AEM and agentic web apps, GenStudio, and AEP and apps each grew ending ARR by more than 20% YoY (Steve Day, Q3 Earnings Call). Over 20,000 global enterprises rely on Adobe. Q3 enterprise customer wins included BNP Paribas, Humana, IKEA, Marriott, Royal Bank of Canada, Vanguard and Wells Fargo. Adobe serves over 1 trillion experiences per year through Adobe Experience Platform.

Enterprise software has different moat economics than individual creative tools. Procurement cycles are multi-year. Workflow integration creates switching costs that individual users do not face. Compliance, security certifications, and training infrastructure compound that lock-in over time. Anil described it on the call:

“proprietary CX intelligence, agentic orchestration, governed workflow execution, open ecosystem connectivity and enterprise-grade trust, all of which we have built over several years”.

Firefly adds a layer. It is trained on Adobe Stock, which gives it a commercially safe IP position that standalone generators built on scraped internet data do not have. It is integrated natively into Creative Cloud applications, not offered as a separate product that competes with the existing workflow. Credit consumption is accelerating QoQ. The model is not “pay for AI” alongside the subscription. It is “AI makes the subscription more valuable.” Whether that holds depends on whether integration into the professional workflow is a durable advantage or a temporary one.

The moat may be bifurcating. At the individual and prosumer level, where free tools, standalone generators, and AI-native competitors offer substitutes, Adobe is spending to defend: freemium, price deferrals, user acquisition at the expense of near-term ARR. At the enterprise level, where integration, compliance, and workflow lock-in matter more than feature parity, the numbers show acceleration. The question for the stock is which side of the business determines the marginal dollar of value.

Thanks for reading! Subscribe for free to receive new posts and support my work.

✓ Subscribed

The CEO Signal

Shantanu Narayen is stepping down after 28 years at Adobe, the last 19 as CEO. He will remain as Executive Chair. His departure frame on the Q3 call:

“these innovations are now used by over 1 billion monthly active users across all businesses, a number that grew greater than 20%

YoY in Q3, with the creative freemium MAU crossing 100 million and growing greater than 70% YoY... During this time, Adobe's annual revenue has grown from less than \$1 billion to over \$26 billion".

Anil Chakravarthy becomes President and CEO on December 1. He joined Adobe in January 2020 to run Digital Experience. Shantanu subsequently expanded his scope to enterprise field operations across the entire company. Anil described that role:

"me and my team, we represented all of Adobe with our customers. When you look at an example like Disney, they think of us as one Adobe".

Shantanu disclosed that the board had "two great internal candidates" (Shantanu Narayen, Q3 Earnings Call). He thanked the other, David Wadhwani, "for over a decade of partnership, leadership and passion for our creative community." Wadhwani led the creative business. The board chose the executive whose role had already expanded beyond a single product line to representing all of Adobe to its largest enterprise customers.

The segment structure Adobe now reports reflects the same bet. Creative and Marketing Professionals, or CMP, combines what were Creative Cloud and Digital Experience into a single \$4.65 billion quarterly revenue segment. Business Professionals and Consumers, or BP&C, combines Document Cloud, Acrobat, and Express into a \$1.91 billion segment growing 16% YoY, with MAU above 900 million growing 25% YoY. The old structure treated creative production and marketing distribution as separate businesses. The new structure treats them as one workflow.

Anil's first priority list was tactical:

“First focus is obviously on Q4... MAX is a big deal for us... I’m spending a lot of time with our community, with customers, with our Adobe employees and building the leadership team”.

No strategic reset. No restructuring language. The strategy, if there is a new one, arrives at MAX in November and in Q1 FY2027 guidance.

A CEO transition during significant competitive disruption carries risk in both directions. The moat may be bifurcating, as the prior section describes: the individual creative side under pressure, the enterprise side holding. The board choosing the enterprise executive over the creative one is a revealed preference about which side of the bifurcating moat it is betting on. Q1 FY2027 guidance will show whether that choice translates into strategy.

What I’m Watching

Seven metrics determine whether the next post in this series is a position increase or an exit.

Q4 net new ARR. Management pre-framed Q3 as the trough and Q4 as re-acceleration. Shantanu on the Q2 call:

“our second half ARR expectations probably typically pay out 40 and 60 in Q3 and Q4”).

If Q4 net new ARR is down more than 20% YoY, the freemium MAU are not converting, and the strategy has a monetization gap.

RPO Q4 step-up. The five-year Q4 average is +\$1.57 billion, ranging from +\$1.08 billion (FY22) to +\$2.08 billion (FY25). RPO enters Q4 at \$22.16 billion, slightly below Q1’s \$22.22 billion. A Q4 step-up below \$1.0 billion would confirm that the seasonal defense Steve Day relied on has broken.

Total deferred revenue. Q3 was the first Q3 sequential decline in the database. A second sequential decline in Q4 moves the billings concern from a one-quarter anomaly to a trend.

Enterprise growth disclosure. AEM, GenStudio, and AEP each grew “>20%” in Q3. Q4 FY2025 disclosed AEP at +30% and GenStudio at +25%. If Q4 FY2026 shifts to “>15%” or “double-digit,” the enterprise is decelerating behind a disclosure wall.

Subscription gross margin. 90.38% in Q3, down 91 basis points in two quarters. If the pace holds, gross margin reaches the mid-89s by mid-FY2027. The level is not the issue. The trajectory is.

Firefly sequential ARR growth. 40% QoQ in Q3, above the 30% threshold from Post 3. Below 20% sequential and Firefly is plateauing before reaching scale.

Anil’s first standalone quarter. Q1 FY2027, reporting March 2027. Watch for restructuring language, segment-level margin targets, or a change to the freemium conversion timeline. A new CEO’s first guidance is the most direct signal a transition produces.

The Close

Is Adobe a value trap?

By every backward-looking criterion in the 23-quarter database, no. Revenue is accelerating. R&D is at its highest intensity on record. Margins are not being defended by cost cuts. Buybacks are funded by cumulative FCF. None of the six findings produced a fatal signal.

That is not the same as saying the stock is a genuine mispricing. It is saying the test has not happened yet.

The backward-looking data rules out the standard markers. The forward-looking data has not had time to resolve. Deferred revenue broke a five-year seasonal pattern. RPO declined from Q1 to Q3 for the first time in the database. Net new ARR is down 36%. Adobe's own actions describe a competitive environment that requires significant intervention: a \$20 billion acquisition attempt, a freemium pivot that deferred near-term ARR, a CEO transition that chose the enterprise executive over the creative one. Those decisions are either the early stages of a business repositioning itself or the early stages of a business losing its individual creative moat and consolidating around what remains.

Q4 net new ARR is the verdict. If it is down more than 20% YoY, the freemium thesis has a monetization gap and five months of thesis maintenance was rationalization, not analysis. If it re-accelerates, the gap between 7.52x and 12.4x does not close incrementally.

I am holding through Q4 with conviction, but conviction grounded in the data, not in hope. The seven metrics in the prior section are the accountability framework. Post 5 will either be a position increase or an exit.

Disclosure: I hold a position in Adobe (ADBE). This material is for informational purposes only and does not constitute investment advice. All figures sourced from: Adobe Q3 FY2026 earnings call transcript, September 10, 2026, Shantanu Narayen, Anil Chakravarthy, and Steve Day verbatim; Adobe Q1 FY2026 and Q2 FY2026 earnings call transcripts; Adobe FY2025 Form 10-K; Adobe quarterly earnings press releases and supplemental financial data, Q1 FY2021 through Q3 FY2026; Adobe Summit 2026 keynote transcript; TIKR Terminal forward estimates, NTM EV/EBITDA multiples and peer comparables as of September 11, 2026.

Thanks for reading! Subscribe for free to

receive new posts and support my work.

✓ Subscribed